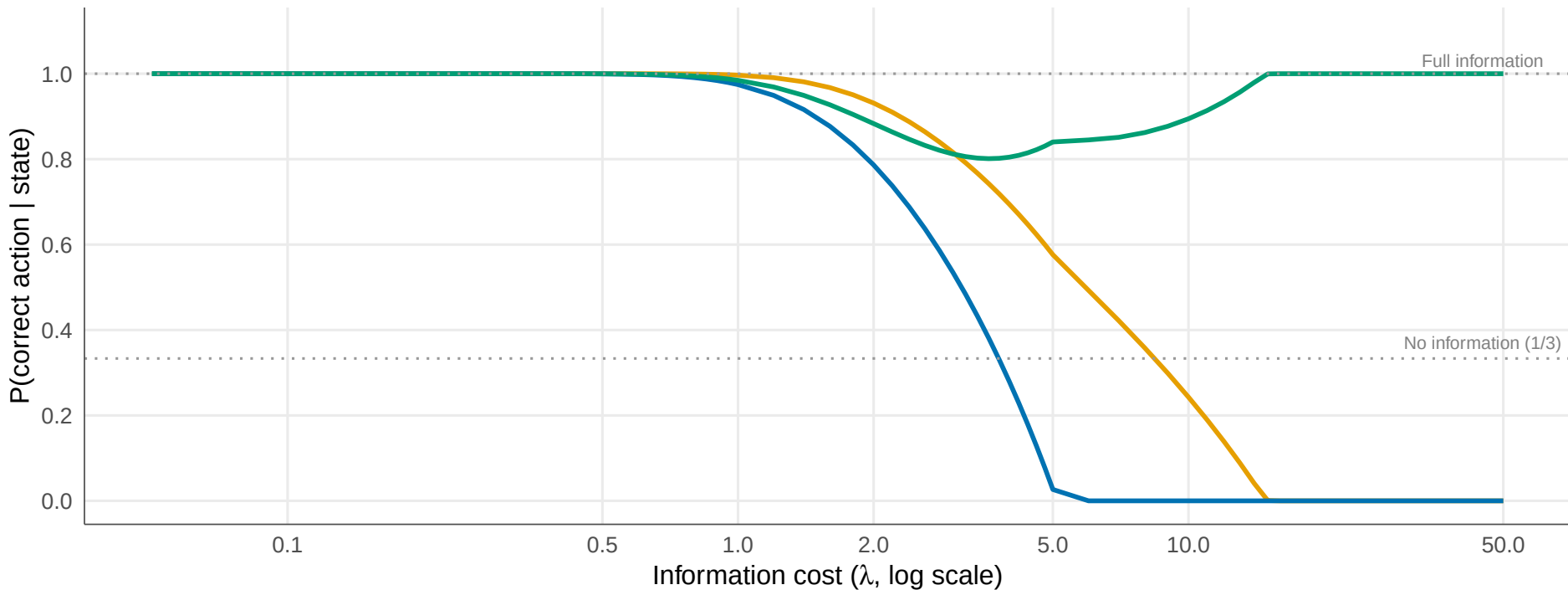


Rational inattention: from perfect discrimination to stickiness

Probability of choosing the correct action declines as information cost increases



Action-state match High price in High demand Low price in Low demand Med price in Med demand